Notes to the Consolidated Financial Report
30 June 2019
(continued)

Capital and financial risk management

13 Capital risk management

The Group's objectives when managing capital are to safeguard its ability to continue as a going concern, so that it can continue to provide returns to its shareholders and benefits to its stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

In the future, the Directors may pursue funding options such as debt, sale and leaseback of assets, additional equity and various other funding mechanisms as appropriate in order to undertake its projects and deliver optimum shareholders' return.

The Group intends to maintain a gearing ratio appropriate for a company of its size and growth.

	30 June 2019 $'000	30 June 2018 $'000
Total borrowings and lease liabilities	**867,177**	302,954
Less: cash and cash equivalents	**(398,999)**	(417,982)
Net debt (surplus cash)	**468,178**	**(115,028)**
Total equity	**875,303**	893,977
Total capital	**1,343,481**	**778,949**
Gearing ratio	**35.0%**	**-%**

The Group manages its capital structure by regularly reviewing its gearing ratio to ensure it maintains an appropriate level of gearing within facility covenants. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total interest bearing financial liabilities, less cash and cash equivalents. Total capital is calculated as equity, as shown in the Consolidated Balance Sheet, plus net debt.

14 Contributed equity

(a) Share capital

	Note	**30 June 2019 Number of Shares**	**30 June 2019 $**	30 June 2018 Number of Shares	30 June 2018 $
Fully paid ordinary shares	14(c)	**343,655,108**	**905,117,323**	342,252,120	904,247,017
Treasury shares - LFSP	14(e)	**861,813**	**1,851,502**	861,813	1,851,502
Treasury shares - EST	14(g)	**27,702**	**203,000**	21,608	165,000
Total share capital		**344,544,623**	**907,171,825**	**343,135,541**	**906,263,519**